

World in Brief: Trump pauses tariffs on Canada; governments' borrowing costs jump



Photograph: Getty Images

Donald Trump announced that he had paused for three days a **50% tariff** on billions of dollars worth of **Canadian goods** entering America. His statement came hours before the levy was to be imposed. Canada's prime minister, Mark Carney, responded that "there is important work still to be done". Mr Trump also said that the Keystone XL Pipeline, a cancelled Canada-America oil conduit, could be revived.

Yields on **American 30-year Treasuries** briefly rose above 5.3%, to their highest level since 2007, because of growing fears about inflation, America's \$40trn debt and rising oil prices. **Government borrowing costs** also jumped in Britain and Japan, and hit multi-year highs in France and Germany. America's tech-heavy **NASDAQ** stock index fell by 1.3% as investors sold shares of chipmakers.

A court case opened in California that could reshape social-media platforms. A group of 29 American states—both red and blue—is **suing Meta** for tens of billions of dollars. The group claims the firm intentionally designed Facebook and Instagram to be addictive to children, leading to poor mental health. Meta's lawyer claimed

that research showed no clear link between the struggles some users face, which he acknowledged, and social-media use.

South Korea said military exercises with America will end on Friday, six days earlier than planned. Mr Trump had urged a scaling back, while praising North Korea's dictator. China's foreign minister, Wang Yi, arrives on Wednesday for his first visit to Seoul in five years. Mr Trump's intervention has shocked many in South Korea, and could push the country closer to China.

Unitree's shares rose by more than 600% when they started trading on Shanghai's stock exchange, valuing the Chinese robotmaker at \$66bn. The firm's initial-public offering, which raised over \$900m, was 5,500 times oversubscribed. The leap in share price was even more impressive than the two-metre standing jump of "Superman", a new humanoid robot Unitree revealed on Monday, which it claims can run faster than Usain Bolt.

The **United Arab Emirates** said **Iran** fired two ballistic missiles towards it, both of which fell into the sea. The UAE said it remains on "high alert". Earlier, Mr Trump insisted that no talks are scheduled with Iran's regime, and claimed that the [Strait of Hormuz](#) is open. Mohammad Bagher Ghalibaf, Iran's parliamentary speaker, called members of the Trump administration a "clown crew".

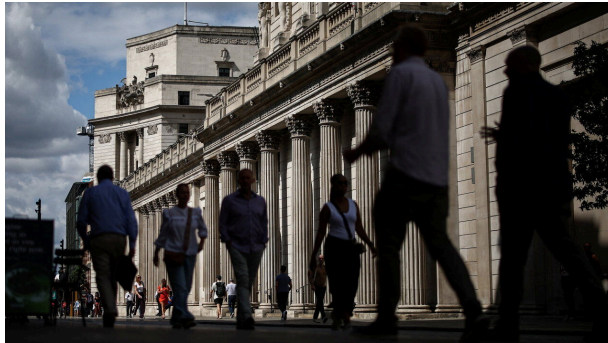
The death toll from a ferry disaster in **Zimbabwe** rose to 94, making it the deadliest transport accident in the country's history. The boat was travelling across Lake Kariba on the border with Zambia last week when it capsized in strong winds. The government said the vessel was carrying about 180 passengers, double its capacity.

Figure of the day: 50, the number of commercial wineries in Sweden. [Read about how](#) a white from the "Nordic Tuscany" beat

Europe's finest to become the wine of choice at the Nobel Prize banquet.

Will Binyamin Netanyahu hold on to power in Israel's election? See the latest odds and guide to the candidates in our [poll tracker](#).

The Bank of England's inflation conundrum



Photograph: Getty Images

Andy Burnham spent much of his first month as Britain's prime minister finding ways to make life's necessities cheaper. But still inflation is heading in the wrong direction. In July it rose by 2.9% year-on-year, up from 2.6% in June. Energy is the main culprit. The government's price cap on electricity and gas bills increased by 13% on July 1st, a result of the Iran war. The Bank of England reckons inflation will peak at 3.2% in November.

Will this nudge the central bank into raising its main interest rate, currently 3.75%, next month? Perhaps not. Core inflation (which excludes volatile energy and food prices) stayed steady in July, helped by temporary tax-cuts for summertime visits to theme parks, zoos and other leisure venues. Meanwhile private-sector wage growth continued to slow in June. Rate-setters worry about [high energy costs](#) prompting broader price and wage increases. There are few signs of this so far.

In the foothills

Britain, consumer prices,
% change on a year earlier



Source: ONS

Ukraine's maritime chokepoint



Photograph: Getty Images

Ukraine's aerial campaign against Russia has inflicted economic damage and [brought the war home](#). But Vladimir Putin's forces have hit back harder. In July Russia launched a record 198 ballistic and hypersonic missiles, mostly at Kyiv, the capital. Ukraine's lack of interceptors forces it to shield only the most high-profile targets. Now Russia is using new tactics to cripple Ukraine's economy.

In the past month Russia has targeted Ukraine's economic lifeline: ships entering and leaving Odessa's ports. The ports were forced to shut early in the war, but reopened in 2023 with a protected corridor. Yet they have been commercially dead since July 19th, when cruise missiles sank a Turkish-owned cargo ship. The timing could hardly be worse, with 50m tonnes of harvest still to move and no clear alternative routes. If this year's [grain](#) can't be sold, farmers are likely to skip the winter sowing season, pushing their losses to \$10bn-12bn. Ukraine desperately needs its Western allies to give it more interceptors.

Hong Kong's stock exchange is back in fashion



Photograph: Reuters

Shein, a fast-fashion giant, is expected to begin taking orders for its initial public offering of shares in Hong Kong this week. The listing will be the latest success for a city that is [regaining](#) its status as a global financial centre. Hong Kong's IPO engine, which was sputtering until recently, is firing on all cylinders. The first half of this year was its best in half a decade. By number of deals and the amount of funds it raised it surpassed New York's main exchange, according to KPMG, a consultancy.

Hong Kong owes much of its [recovery](#) to authorities in Beijing. The China Securities Regulatory Commission has fast-tracked secondary listings of prominent Chinese firms in Hong Kong, prompting a rush of deals. It has also discouraged firms from raising money in Western markets. After American lawmakers stymied Shein's attempt to float in New York, the CSRC delayed its authorisation to list in London, pushing the company towards Hong Kong instead.

A Caledonian revival for Hiawatha



Photograph: Antoine Saito

Samuel Coleridge-Taylor (not to be confused with Samuel Taylor Coleridge) was one of the finest composers of Edwardian Britain. His masterpiece is “The Song of Hiawatha”, three cantatas recounting a Native American epic. Almost every summer between 1924 and 1939 the Royal Albert Hall in London staged a vast performance featuring 1,000 singers and dancers. Audiences lapped up the feathered headdresses and wig-wams long before cultural appropriation was a consideration.

After the second world war his choral work was largely forgotten. On Wednesday it will be performed at the Edinburgh International Festival for the first time, and recorded for broadcast on the BBC. Expect the staging to be more modest. “The Song of Hiawatha” has a complicated cultural legacy; Coleridge-Taylor was black, and sold the rights to his composition for a pittance. The latest performance is a gratifying revival for an often overlooked composer.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which play by Bertolt Brecht is about a peasant girl who rescues a baby?

Tuesday: What term, familiar from geometry, is used to describe the act of acquiring the bulk of a commodity's supply so as to drive up the price?

*You can no more win a war than
you can win an earthquake.*

Jeannette Rankin